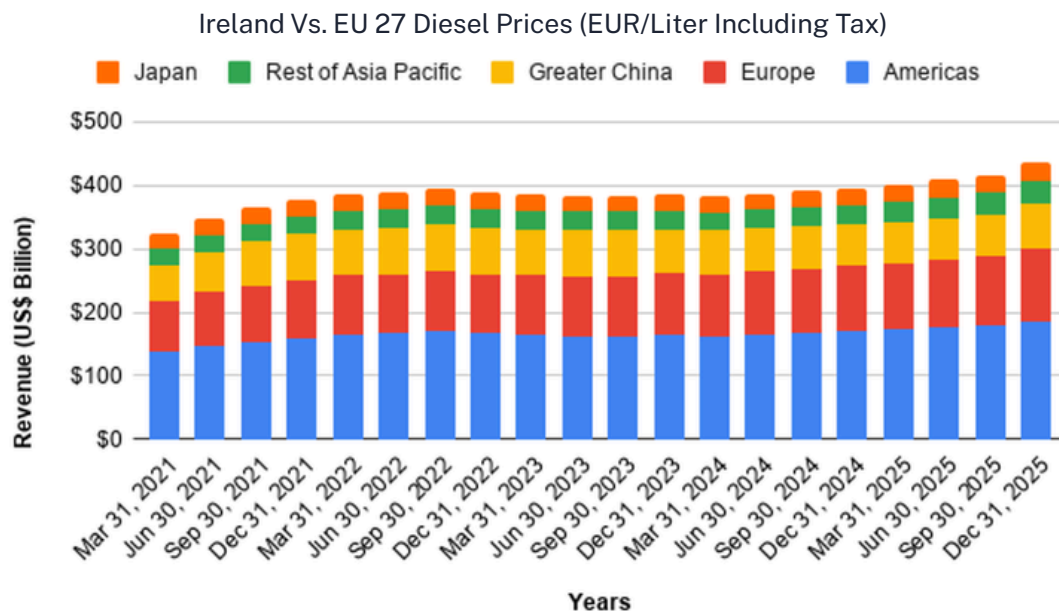


China's New Extraterritorial Rules Increase Trade Risks for Multinationals

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On 14 April, Chinese Premier Li Qiang signed a 20-article [State Council decree](#) aimed at countering foreign extraterritorial jurisdiction and strengthening Beijing's legal mechanisms to block overseas sanctions and control cross-border legal conflicts. For multinational companies in China, the new rules indicate growing compliance-related uncertainty, as firms navigating conflicting international operational requirements face the risk of legal enforcement from Chinese agencies.



Source: Stock Analysis

Immediate Political and Market Reactions

- [Firms following US frameworks face increased vulnerability](#), as China's countermeasures could penalise adherence to foreign laws. Approximately one-fifth of Apple's revenue comes from Greater China, implying significant exposure to regulatory divergence between Beijing and Washington.
- [Terminations are the most visible trigger for retaliation and multiagency enforcement](#). This could entail increased compliance costs, exit bans, and potential supply-chain disruptions in the near- and mid-term. Overlapping regimes — particularly US measures such as the [Uyghur Forced Labour Prevention Act \(UFLPA\)](#) and China's counter-sanctions framework — will raise operational complexity across borders.
- Over the longer term, sustained regulatory divergence may accelerate supply-chain restructuring and 'de-risking' strategies, [with firms diversifying production outside China](#) to reduce exposure to dual legal regimes. Mitigation measures such as increased compliance screening and regional separation of operations may reduce legal exposure but increase costs and reduce efficiency.